

# INTERNATIONAL RELATIONS

**INDIA-NEPAL - 3**

**MODULE - 24**



## KALAPANI ISSUE

## TERRITORIAL DISPUTE

- 1 Kalapani is a 372sq km area at the tri-junction of India, China and Nepal.
- 2 It lies near the Kali river which depicts the western boundary between India and Nepal, as per the Sugauli treaty of 1816, eastern part of the river belongs to Nepal.
- 3 The origin of the river is the key to the conflict. Nepal claims that Kali river originated at limpiyadhura (16km northwest of kalapani) so therefore this point marks the boundary while India holds that Kali river originated from a smaller rivulet named Pankhagad at the southern portion of kalapani, hence the eastern part of this area is true border.
- 4 The treaty delimited the eastern and western boundaries of Nepal. However, the river Kali has been shifting its course from time to time which also gave the confusion of boundary line.







**KALAPANI**

**TIBET**

**Uttarakhand**

**Sikkim**

**NEPAL**

**INDIA**

**r Pradesh**

**Bihar**



### STRATEGIC SIGNIFICANCE OF LIPULEKH AND KALAPANI TO INDIA

- 1 Lipulekh is a high altitude area on the borders with China.
- 2 India has deployed its troops in the area to monitor the Chinese activities.
- 3 Due to its high altitude, strategically it is very important in any armed conflict with China.
- 4 It is also significant for trade relations and religious activities.
- 5 Both India and Nepal claim Kalapani as an integral part of their territory - India as part of Uttarakhand's Pithoragarh district and Nepal as part of Dharchula district.





## TIMELINE OF ISSUE

- 1** 1962- During the Indo-china 1962 war, when Indian troops occupied the Kalapani area, Nepal did not object
- 2** 2002- Nepalese PM visited New Delhi and both the countries agreed to resolve the matter through an on-site study of Kalapani.
- 3** 2006 and 2014, India tried to resolve the issue, but there were no substantial results
- 4** May 2015- India signed an agreement with China to use the Lipu Lekh Pass for trade. Nepal protested against India and China
- 5** November 2019- India published its updated maps after the reorganisation of Jammu and Kashmir, and Ladakh. In this map, India included Kalapani
- 6** 2020- India's defence minister inaugurated a road link from Dharchula to Lipulekh known as Kailash-Mansarovar Yatra Route





## NEPAL'S RECENT STEPS

- 1 Nepal reacted by published a revised map is an unfortunate attempt to artificially expand its territorial claims.
- 2 The new map includes 335-km land area including Limpiyadhura in the Nepalese territory.
- 3 Nepal says it was drawn on the basis of the Sugauli Treaty of 1816 which suggests Limpiyadhura, from where the Kali river originated, is Nepal's border with India
- 4 Indian Army Chief General M.M. Naravane commented on the issue implying China had instigated Nepal to lay claims on the area.
- 5 A bilateral foreign secretary-level committee exists to resolve border disputes between India and Nepal but it has been unable to resolve the Kalapani and Susta border issue.





### ROLE OF CHINA

- 1 India has speculations that the current activities of Nepal are at the behest of China.
- 2 PM Oli's government is a communist party and it is somewhere influenced by Chinese Communist party because Nepal has never raised such objections before.
- 3 Nepal's internal politics is also playing a crucial role in the Prime Minister pushing for such steps



## ECONOMIC

Economic reasons also add to anti-Indianism.

- 1 Thousands of unskilled labourers from Nepal cross the border in search of jobs and are harassed in various ways.
- 2 India imposed an economic blockade in Nepal till 1990. Nepal experienced serious deficiencies of important goods such as coal, fuel, oil, medicine.
- 3 Nepal also suffered economically from higher tariffs, closure of border points and tense political atmosphere.
- 4 There is a trade deficit in favour of India. There is lack of progress in Indian funded projects in Nepal.





## ECONOMIC

5 Nepal was particularly affected by demonetisation as the Indian currency is used in the daily transactions and many Nepalese working in India take remittances and savings in cash across the border.

6 In 2019, Nepal banned the use of Indian currency notes of Rs 2,000, Rs 500 and Rs 200 denominations. It impacted Indian tourists visiting Nepal where Indian currency is widely used. The bilateral relations remained firmly on track, notwithstanding the minor hiccups.





## ECONOMIC

- 7 In September 2015, the Nepal blockade created a negative sentiment in Nepal. Political parties in Nepal accused India for causing the crisis. It severely affected normal life.
- 8 This agreement compelled Nepal to sign an agreement with China in October 2015 to facilitate fuel imports.
- 9 Nepal is unable to export pharmaceutical products because the companies are denied registration in India.
- 10 India does not allow Nepali entrepreneur to send their machineries for repair and maintenance after three years of their import.





## CHINA FACTOR

Nepal is eager for investment, connectivity and infrastructure and sees in China the opportunity to achieve its domestic objectives.

**1** Nepal conducted a joint military drill with China as a part of the Sagarmatha Friendship. The focus was on counter terror operations.

**2** China proposed the establishment of an economic corridor among the India, China and Nepal to promote trilateral cooperation and common prosperity.

**3** Nepal and China signed the Transit and Transportation Agreement in 2016.

**4** China has invested heavily in hydro power, infrastructure and transport projects in Nepal.

**5** A connectivity project linking Kathmandu to Shigatse by rail has been finalized to give Nepali goods access to Chinese seaports at Tianjin, Shenzhen, Lianyungang and Zhanjiang and land ports in Lanzhou, Lhasa and Shigatse.



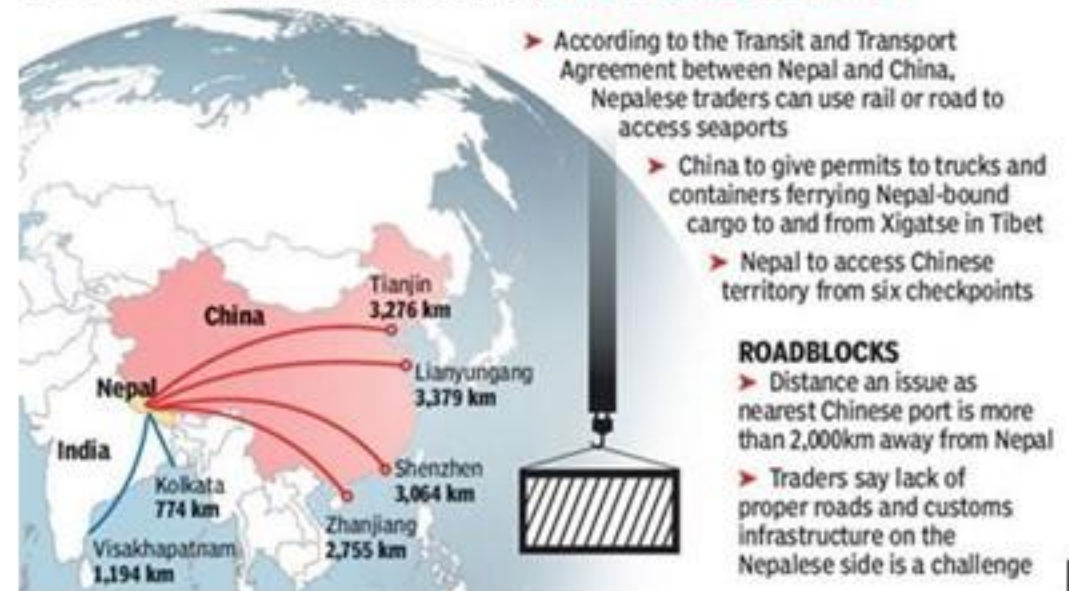


## CHINA FACTOR

- 6 China announced Rs 56 billion aid to help the country's development programmes.
- 7 President Xi visited Nepal in 2019 and agreed to upgrade the Araniko Highway linking Kathmandu with Tibet that was shut down since the 2015 earthquake and conduct a feasibility study of trans-Himalayan railway at the earliest as per Nepal's request.
- 8 There is a growing perception that Nepal's Communist government is close to China
- 9 India's position of being the largest source for FDI in Nepal is getting replaced by China.

- 10 In 2019, China accounted for 40% of new FDI in Nepal.

### LAND-LOCKED HIMALAYAN KINGDOM JUST GOT ALTERNATE TRADE ROUTES, BUT WILL IT HELP?





### TRANS-HIMALAYAN MULTI-DIMENSIONAL CONNECTIVITY NETWORK

- 1** Chinese president Xi Jinping visited Nepal in October 2019 and began studies for the establishment of a multi-dimensional trans boundary railway from Tibet to Kathmandu and eventually Lumbini, through the Himalayas. The project is a part of China's OBOR initiative.
- 2** It will help Nepal to transform from a land-locked to a land-linked country. It is an attempt to Nepal's reliance on India and increase China's strategic influence in South Asia.
- 3** It is multi-dimensional as it will include ports, roads, railways, aviation and communications





### TRANS-HIMALAYAN MULTI-DIMENSIONAL CONNECTIVITY NETWORK

- 4 China will provide Nepal soft loans to complete the project.
- 5 Critics are doubtful if Nepal, an economically poor country will be able to pay back China.
- 6 They fear it might be in the same position as Sri Lanka who had to hand-over the Chinese-built port after it was unable to pay back.
- 7 India has also promised to build a second rail link from its eastern state of Bihar to Kathmandu, critics say it has been slow in implementing connectivity projects in the South Asian region.





## RECENT MEETINGS

### OCTOBER 2015

When PM Modi visited Nepal in October 2015, India and Nepal signed important agreements-

- 1 MoU on utilization of USD 250 million grant component of Government of India's assistance package for post-earthquake reconstruction assistance to Nepal.
- 2 MoU included four sectors- housing, health, education and cultural heritage.





## RECENT MEETINGS

### APRIL AND MAY 2018

- 1 The recent exchange of state visits by Prime Ministers of Nepal and India in April and May 2018 has contributed to taking the bilateral relations to newer heights based on equality, mutual trust, respect and benefit.
- 2 Both sides agreed to advance new partnerships in agriculture, expand rail linkages connecting Kathmandu to Raxaul with India's financial support and develop inland waterways for making the movement of cargo and providing additional access to sea for Nepal.





## RECENT MEETINGS

### MARCH 2019

- 1 India's Foreign Secretary met PM Oli in Kathmandu and held talks on railways and waterway projects, reviewed progress of post-earthquake reconstruction of projects and pledged an assistance of USD 250 million to for the reconstruction projects.
- 2 India also donated Rs 1.6 billion to Nepal for the reconstruction of houses damaged in the quakes in Gorkha and Nuwakot districts.
- 3 This was part of a total amount of Rs 450 billion donated by India for constructing 50,000 houses to Nepal following the 2015 earthquakes, partnering with the United Nations Development Programme.





## RECENT MEETINGS

### NEPAL 2019

- 1 External Affairs Minister visited to attend the fifth meeting of Nepal-India Joint Commission
- 2 The countries focused on the areas of connectivity, economic partnership, trade, transit, power and water resources as a part of their bilateral relations.
- 3 Nepal stood with India in its fight against terrorism
- 4 India issued travel advisory to Mansoravar pilgrims in April after some people died due to harsh weather conditions, poor tour management and lack of precautionary measures.





- 1 A stable Nepal is in the best interest of both India and China.
- 2 India should try to correct the anti-Indian perception through Track-II dialogue with Nepal.
- 3 India should undertake capacity-building programme- personnel training, intelligence gathering, supply of terrorist, tracking modern equipment, etc.
- 4 India must speed up connectivity and development initiatives in the region. BBIN could be used as a good place to display integration.

- 5 Nepal is vital to South Asian stability. It stands to benefit from BBIN and BIMSTEC connectivity projects.





- 6 Cooperation in water resources is an important area for bilateral relations. These rivers have the potential of becoming sources of irrigation and power.
- 7 India should maintain the policy of keeping away from internal affairs of Nepal, meanwhile in the spirit of friendship India should guide the nation towards more inclusive rhetoric.
- 8 Even though reports suggest that both China and Pakistan are providing financial support to media houses in Nepal to further the anti-Indian sentiment in Nepal
- 9 But it should be understood that Nepal has very close ties with India and it would be unfair to compare its relationship with that of China.

**With its immense strategic relevance in the Indian context as Indian security concern, stable and secure Nepal is one requisite which India can't afford to overlook.**





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Learning Space

**For Suggestions:**

[suggestions@learningspace.in](mailto:suggestions@learningspace.in)

**To Contact us:**

[info@learningspace.in](mailto:info@learningspace.in)

**For Information:**

[info.learningspacedigital@gmail.com](mailto:info.learningspacedigital@gmail.com)

**Visit us at:**

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